



FACULTY OF BUSINESS MANAGEMENT

Qasim Ibrahim School of Business

PTMT9002 | Strategic Project Development

MSc In Project Management

STRATEGIC PROJECT DEVELOPMENT PROPOSAL

PROJECT FEN RAKKAA

13 August 2026

Hussain Shaany

S2610358

Lecturer: Mr. Hussain Haleem

Word Count: 4416 words

CONTENTS

1	INTRODUCTION.....	3
2	ORGANIZATION CASE FOR CHANGE.....	4
2.1	ORGANIZATIONAL CONTEXT	4
2.2	STRATEGIC PROBLEM	4
2.3	STRATEGIC CONTRIBUTION AND COST OF INACTION.....	7
3	PROJECT PROPOSAL DOCUMENT	9
3.1	PROJECT SCOPE AND OBJECTIVES	9
3.2	KEY ISSUES ANALYSIS	11
3.2.1	<i>Root-cause analysis</i>	11
3.2.2	<i>Fishbone Diagram</i>	12
3.2.3	<i>Gap analysis</i>	13
3.3	STAKEHOLDER IDENTIFICATION AND ANALYSIS.....	14
4	STRATEGIC PROJECT PLAN	17
4.1	PROJECT OPTIONS AND STRATEGIES	17
4.1.1	<i>Project Options</i>	17
4.1.2	<i>Evaluation Criteria for Project Options</i>	18
4.2	FINANCIAL APPRAISAL AND SENSITIVITY.....	18
4.3	RECOMMENDATION	19
4.4	LOGICAL FRAMEWORK MATRIX (LFA).....	20
5	RISK MANAGEMENT PLAN.....	23
6	CONCLUSION.....	26
7	REFERENCE.....	27
8	APPENDIX.....	29
8.1	APPENDIX A: FINANCIAL WORKINGS (SECTION 4.2).....	29

1 INTRODUCTION

This document presents a strategic project development proposal for Male' Water and Sewerage Company (MWSC). The Business Plan 2026 (BP26) identifies the “USD exchange rate crisis” as its top corporate challenge (MWSC, 2025a [Business Plan 2026 (Summarized Version)]). MWSC earns its revenue in Maldivian Rufiyaa (MVR) but pays for its imports in US dollars (USD). The widening gap between both currencies now directly impacts on its cost. This proposal is to analyze this gap and propose a project to close it.

The proposed project “FEN RAKKAA” is a twelve-month project with budget of MVR 4.5 million to earn revenue in dollars, reduce dollar spending and set clear rules for foreign exchange (FX) risk.

The report first identifies the organization along with strategic importance of the project. It then presents the project proposal document covering scope, objectives, analysis of key issues and stakeholders. Finally, it presents a strategic project plan including three distinct strategic options to achieve its objectives, a recommendation for most feasible option and subsequently develop a Logical Framework Matrix (Logframe) and a Risk Management Plan for the chosen project.

2 ORGANIZATION CASE FOR CHANGE

2.1 Organizational Context

Established in 1995, MWSC is the pioneer water and sewerage utility company in the Maldives and a state-owned enterprise (SOE) with 80% owned by government and 20% held by Hitachi, with a total of 267,000 shares (MWSC, 2025b [Corporate Profile]). It runs eight operation centers including Greater Male' region serving over half the population, while Fenaka Corporation covers most outer islands. Additionally, MWSC is the country's sole domestic manufacturer of PVC and PE pipes and undertakes engineering projects for both government and resort clients (MWSC/AGO, 2025).

- **MWSC's Core Purpose:**
 - To help communities lead a PURE life" (MWSC, 2025b).
- **Audited FY2024:**
 - States MVR 1.58 billion in revenue and MVR 217.5 million in net profit (MWSC/AGO, 2025, pp. 31-36).
- **Business Plan 2026:**
 - Targets MVR 1.6 billion in revenue and MVR 186.9 million in net profit,
 - "Build strong inroads toward US dollar revenue streams" while maintaining reliable utility services (MWSC, 2025a, pp. 12).

FY2024 is the latest published audited annual report and FY2025 Q4 appears as audited comparatives in 2026 Q2 Report. However, in-year 2026 quarterly report figures are unaudited. Therefore, this proposal relies on latest audited FY2024 and quarterly reports disclosures to assess recent performance trends with all restated figures explicitly noted where relevant. Additionally, all figures used from balance statements are for the "Company" rather than "Group" for consistency.

2.2 Strategic Problem

On 11 August 2026, parallel market rate reached MVR 22.25 per USD which is premium of 44.29% (Adhadhu, 2026) above the official rate of MVR 15.42 per USD (Maldives Monetary Authority, 2026). Recently, rate has been increasing steadily as shown in Figure 1, indicating structural rather than temporary imbalance caused by macroeconomic conditions.

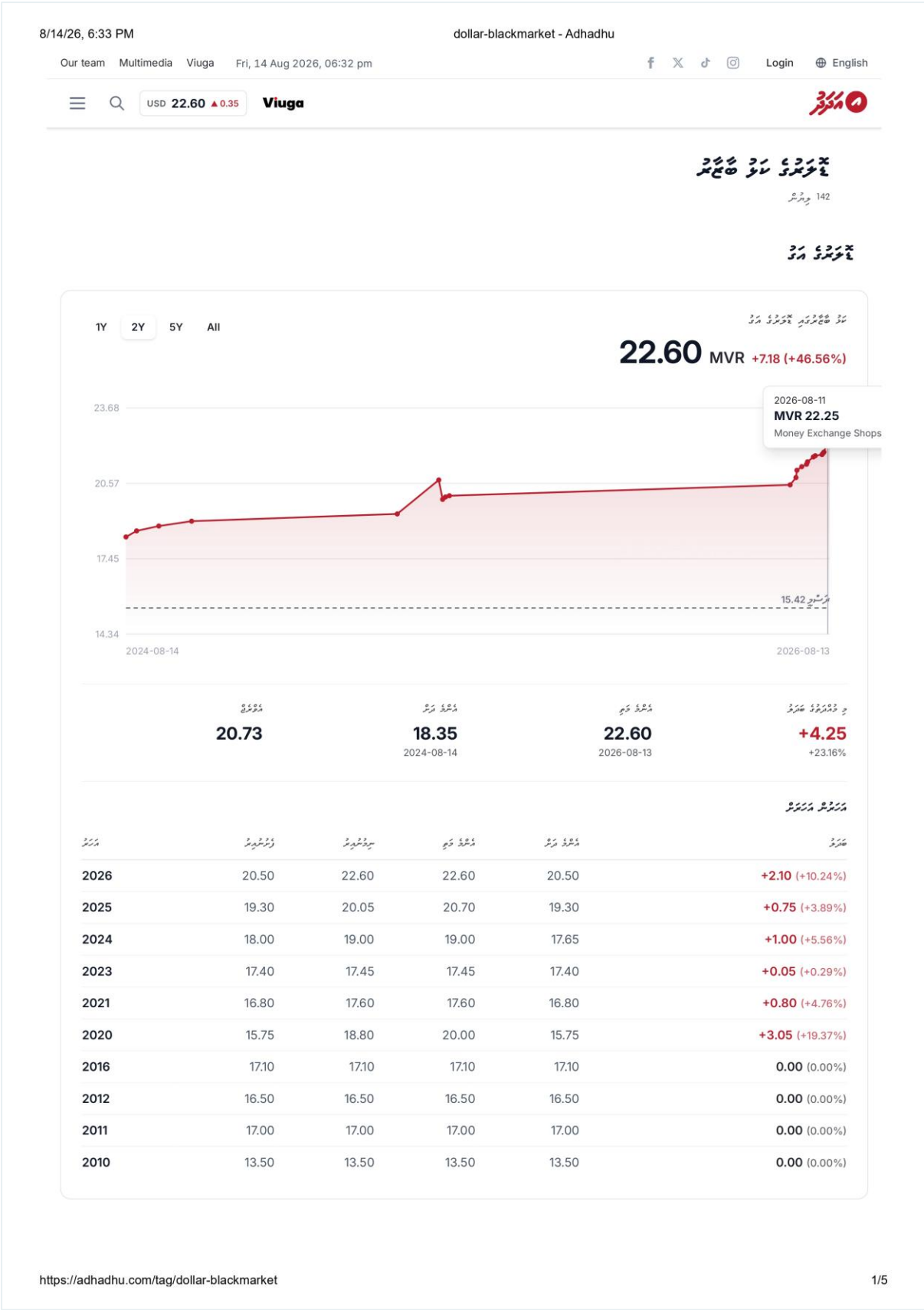


Figure 1 Parallel Market USD Exchange Rate (Adhadhu, 2026)

According to (World Bank, 2026), Maldives external debt service obligations reached an estimation of USD 1.7 billion in 2026. The scarcity of USD is visible in accounts that official reserve fell from a peak of 1.33 billion in March 2026 to 717.9 million (equivalent to 1.4 month of import cover) in April 2026, following USD 500 million sukuk repayment and currency swap in April 2026 (Maldives Monetary Authority, 2026; Ministry of Finance and Planning, 2026; World Bank, 2026). Moreover, gross reserve continues to deteriorate, reaching USD 638.03 million by July 2026 as illustrated in Figure 2.

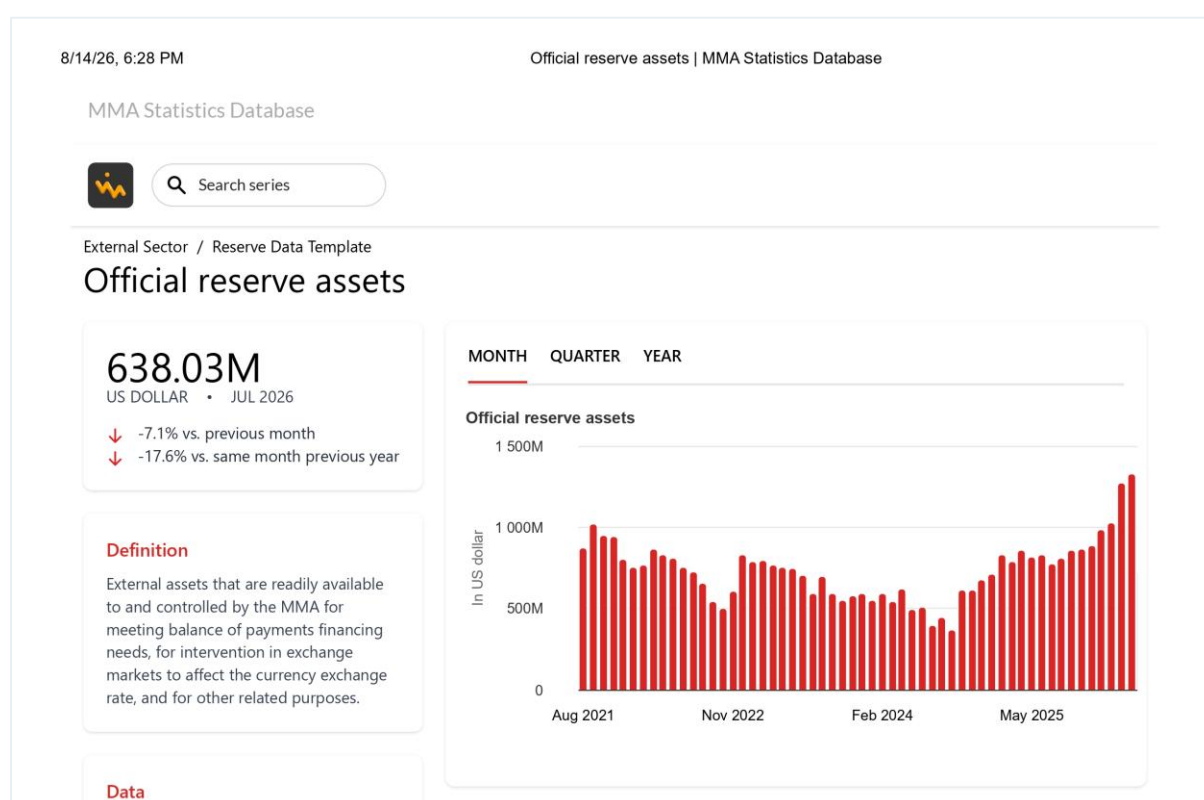


Figure 2 Official Reserve Assets Statistics (Maldives Monetary Authority, 2026)

As MWSC's earns in MVR while many key operational inputs and project materials including membranes, tanks, pumps, valves and meters are purchased in USD, leading to constant exposure to foreign currency shortages and exchange rate pressures. Audited disclosures show that FY2024 (MWSC/AGO, 2025).:

- Trade and other receivables were at MVR 877.8 million compared to the cash holding of MVR 50.2 million.

- MVR 192.1 million impairment flagged against the company's gross receivables of MVR 1.23 billion as Key Audit Matter.
- MWSC's net finance costs increased to MVR 55.9M during FY2024

Financial trajectory of 2025-2026 highlights the issue very clearly. Audited comparative figures show FY2025 (MWSC, 2026; MWSC/AGO, 2025):

- Revenue of MVR 1.37 billion (13% lower than 2024) and only 62% of the MVR 2.2 billion annual goal.
- Profit after tax also fell to MVR146 million (down by about one-third of 2024).
- Thus, revenue target for 2026 was reset to MVR1.6 billion

Current performance at H1 2026 revenue was MVR749.3 million (6.4% below the budgeted MVR 800.8 million. The gap is identified widening from 1.9% to 10.9%, between Q1 to Q2 respectively (MWSC, 2026).

2.3 Strategic Contribution and Cost of Inaction

The project "Fen Rakkaa" is strategically important because it directly addresses misalignment between the currency in which MWSC earns and the currency in which it spends. Implementation of this project is not optional but fundamental for three key reasons:

- **Strategic Alignment:**

It delivers three targets the BP26 has already set:

- Goal 2.3.4: USD billing
- Goal 1.5.10: USD cash reserve
- Goal 3.3.2: legal review of all foreign-currency contracts

The intended outcome is long-term reduction in next FX exposure and create a recurring financial benefit that continues to accumulate year on year.

- **Financial Protection:**

The consequences of doing nothing costs an estimated amount of MVR 40-70 million per year (A2) and risks essential import shortages threatening continuity of operation and projects.

- **Capability:**

It builds treasury discipline and contract governance, which is inimitable (Barney, 1991) and works on financial element of the strategy mix rather than delivering one-off fix (Callahan and Brooks, 2008).

Table 1 Assumptions Register

ID	Assumptions	Basis and treatment
A1	Effective procurement rate MVR 22.25 (band 22.00–22.50)	Parallel market rate (on 11.08.2026) reached premium of 22.25/15.42 (44.3%).
A2	Unmanaged FX exposure causes central MVR 55m p.a.	Derived from 2024 operating costs of MVR 935.3m, applying an assumed dollar-linked share of 20–25%. Resulting exposure of MVR 83–104m relative to the peg and MVR 44–55m relative to 2024 realized rates. The adopted 55m is the ceiling of the conservative realized-rate base.
A3	Benefits MVR 25–40m p.a. at maturity	Ramp on A2 (4.2) with procurement share drawn from MWSC's own 5% savings goal in BP26 (MWSC, 2025a): tested to 17%.

3 PROJECT PROPOSAL DOCUMENT

3.1 Project Scope and Objectives

Project “Fen Rakkaa” aims to reduce MWSC’s net FX exposure by increasing USD revenue, reducing USD expenditure and strengthening governance over FX risk in treasury, procurement and contract management. The project focuses on investing organizational capabilities and processes rather than physical assets. Table 2 defines the scope statement and Table 3 separately outlines the SMART objectives of the project.

Table 2 Project Scope Statement

Element	Content
Project title	FEN RAKKAA
Project goal	Reduce MWSC's net FX exposure and embed permanent FX governance, for MVR 4.5 million over 12 months (0.29% of 2024 revenue), with no new permanent staff
Key deliverables	• FX exposure register and monthly dashboard • USD billing framework with dedicated USD account and buffer policy • Revised FX planning-rate directive • Standard FX clause library
Acceptance criteria	• Live dashboard and covering 100% of USD spend • USD account operational with buffer policy approved by EXCO • Planning-rate directive issued to all divisions • Clause library adopted in 100% of new tenders
In scope	• Enterprise-wide USD spend • Procurement, supplier and customer contracts • Treasury and cash-management processes • Tender and contract management
Out of scope	• National monetary policy and the peg • Speculative hedging • Tariff decisions • Capital-project delivery • Excluded to keep the project focused and apolitical

Constraints	• Limited USD availability • MVR-denominated government projects • MVR 4.5m budget cap • SOE approval cycles
Dependencies	• Data-analytics rollout • Procurement digitalization • Legal risk framework • Bank and monetary-authority cooperation
Key assumptions	• Effective procurement rate MVR 22.25 within a 22.00–22.50 band (A1) • Dollar-linked cost share 20–25% (A2), to be replaced by measured values from the exposure register

Table 3 SMART Objectives

ID	SMART Objective	How success is recognized
SO1	USD exposure register and dashboard covering 100% of USD spend by December 2026, and ≥ 20% of MVR 30M reserves in USD by March 2027 (baseline: none; 0%)	Dashboard 12 of 12. EXCO minutes. Treasury statements.
SO2	Achieve USD billing for ≥ 50% of resort customers and ≥ 20% of project revenue in USD by June 2027 (baseline: approximately 0%)	Billing data. Signed contracts.
SO3	Reduce volume-adjusted USD procurement spend by 10-15% by September 2027 (baseline: current procurement spend)	Procurement reports. Audit savings.
SO4	Ensure 100% of new foreign currency contracts are legally reviewed and include FX clauses from Q4 2026 onwards (baseline: ad hoc)	Legal log. Tender audits.

3.2 Key Issues Analysis

3.2.1 Root-cause analysis

This section distinguishes between symptoms and underlying causes. While falling margins and cash constraints and rising financial cost are evident in Section 2.2, these are the consequences of a fundamental imbalance between MVR-denominated income and USD-denominated expenditure. Four internal factors found that drive this imbalance include:

- **Under-developed dollar revenue:** MWSC overlooked 150+ resort sector and international consulting markets. Ranked first because dollar income would reduce every other exposure.
- **No treasury controls:** budgets are prepared at the official rate of MVR 15.42 and there is no exposure register and no dollar buffer.
- **Contract design:** project contracts are fixed-price in MVR without any FX clauses in which MWSC absorbs rate changes.
- **No ownership:** no single function owns FX risk, so causes 2 and 3 persist. Fixing processes without fixing ownership is single-loop rather than double-loop, learning (Argyris, 1977).

Causes 2 and 3 are inferred from the 2026 Business Plan's own goals to create these controls, which means they do not exist yet. USD shortage in market is also a cause but excluded since its an external cause which is treated as a planning assumption.

3.2.2 Fishbone Diagram

Figure 3 groups the causes into six categories including Macroeconomic Environment, Revenue Structure, Financial and Treasury Practices, Procurement and Supply Chain, Contracts and Governance, and Capability and Culture. Only macro environment is outside MWSC's control and remaining five are internal and actionable. Since these causes are interconnected Section 4 evaluates options by how many linked causes it addresses rather than capital they require (Ishikawa K, 1985).

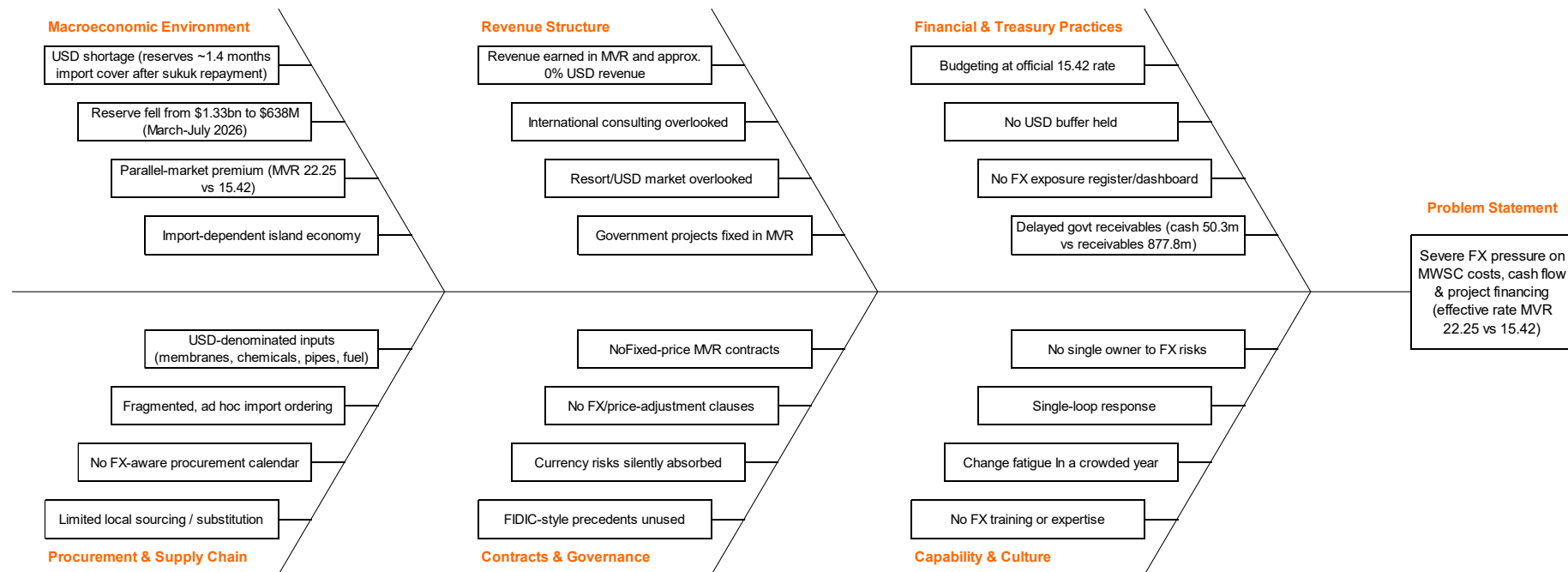


Figure 3 Fishbone Diagram

3.2.3 Gap analysis

Each gap is a capability, behavior or control gap rather than a physical asset gap. Therefore, project focuses on building sustainable organizational capability, not a capital investment on physical equipment or tools.

Table 4 Gap Analysis

Domain	Current State (Evidenced 2026)	Future State (Q3 2027) and what closes the gap
Planning / Treasury	Budgets at MVR15.42, no buffer, cash MVR 50.2M against receivables of MVR 877.8M	22.00-22.50 planning band, 20% USD reserve. Finance directive, cost templates, USD account.
USD revenue	Approx. 0% in USD, resort and international consulting overlooked	≥ 50% of resort customers and ≥ 20% of project revenue in USD. Account team, USD terms.
Procurement	Fragment imports, capital tied in idle stock	Consolidated FX awareness plan. Calendar, due diligence, bulk frameworks.
Contracts / Ownership	No FX clauses, risks absorbed, FX risk ownership not established	Adjusted clauses, 100% review, enterprise ownership. Clause library, committee, KPIs.

3.3 Stakeholder Identification and Analysis

Figure 4 maps stakeholder power and interest matrix. Positions will be reviewed at each project gate. The strongest resistance is expected from resort clients on USD billing and from ministry on FX clauses. Both are managed through new contracts only and early consultation rather than negotiation of existing commitment.

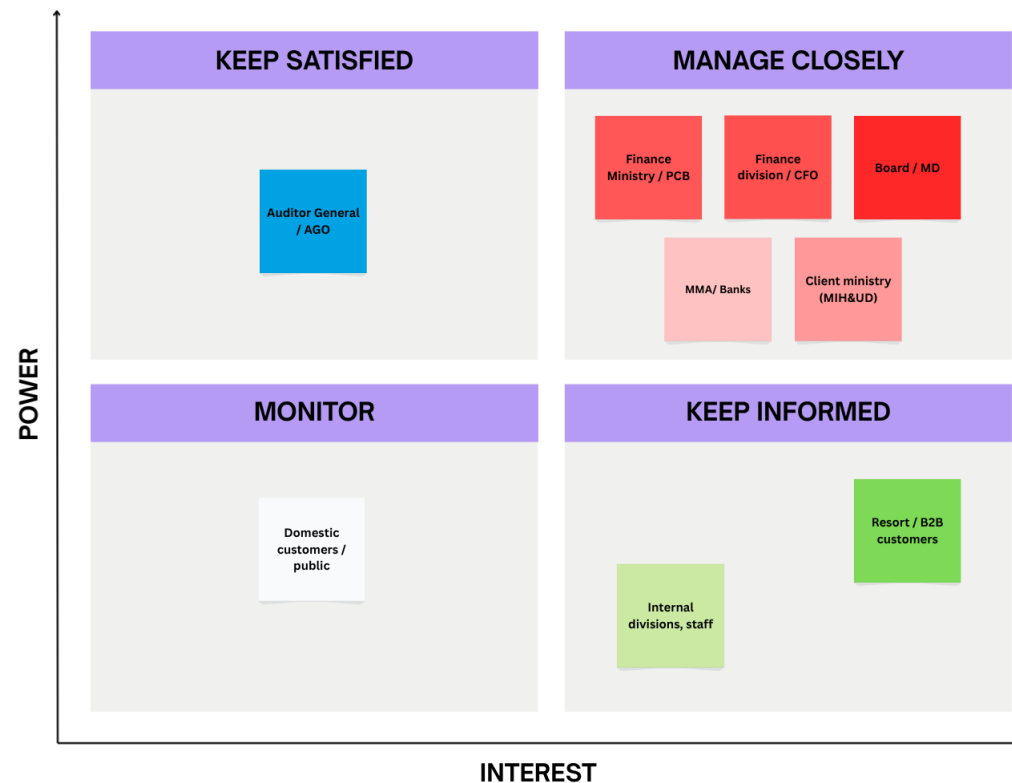


Figure 4 stakeholder power and interest matrix

Table 5 Stakeholder Analysis

Stakeholder	Power / interest (quadrant)	Impact on the project	Position	Engagement action
Board / MD	High / High (Manage closely)	Approves funding and can stop or continue at each gate	Supportive Sponsoring office changed mid-2026	Re-secure sponsorship at mobilisation Gate sign-off Quarterly progress reporting
Finance / CFO	High / High (Manage closely)	Owens delivery, can accelerate or stall the treasury workstreams	Owner Strongly supportive	Chairs steering committee Owns the dashboard and buffer policy
Finance Ministry / PCB	High / High (Manage closely)	Can veto treasury or reserve changes via SOE approval rules	Conditional Approval-dependent	Formal SOE briefings Sequence approval before any treasury change
Monetary authority (MMA), banks	High / High (Manage closely)	Controls USD allocation, can deny the dollars the buffer needs	Neutral Urgent essential-imports claim	Present essential-utility case Hold multi-bank relationships to spread allocation risk
Client ministry (MIH&UD)	High / High (Manage closely)	Can reject FX clauses in awarded contracts	May resist FX clauses	Early consultation using FIDIC precedent Clauses in new awards only

Resort / B2B customers	Low / High (Keep informed)	Can refuse USD billing and undermine Outcome 1	Resistant to repricing	New contracts only Bundle service gains Benchmark against competitors already billing in USD
Internal divisions, staff	Low / High (Keep informed)	Deliver the workstreams; can stall through change fatigue	Supportive but stretched	Joint KPIs Deliver through existing OneMWSC structures Publicise early wins
Auditor General / AGO	High / Low (Keep satisfied)	Audit findings can validate or discredit reported benefits	Independent Flagged receivables as a Key Audit Matter	Keep satisfied Maintain full audit trail Internal Audit verifies benefits before gates
Domestic customers / public	Low / Low (Monitor)	Perceived cost-shifting would create public and political backlash	Unaware Sensitive to tariffs	Monitor Tariffs excluded from scope No change to household billing

4 STRATEGIC PROJECT PLAN

4.1 Project Options and Strategies

4.1.1 Project Options

To achieve objectives of project “Fen Rakkaa” three genuinely distinct options were evaluated, ranging from status quo baseline through a do-minimum to a comprehensive organizational transformation. A baseline is included so that the value of intervention is tested rather than assumed.

- **OPTION A: “Do Nothing” (Baseline)**
 - Continue budgeting at the official rate of MVR 15.42 and absorb currency losses as it changes. It has no direct cost and no operational disruption.
 - Serves as the baseline for comparison. However, it leaves MWSC exposed to estimate of MVR 40-70 million annually which was already reflected in Q1-Q2 2026 margin decline. While it appears safe, it fails to address any strategic objective and become expensive option over time.
- **OPTION B: “Treasury Fix” (Do-minimum)**
 - Introduce a realistic planning rate, combined import orders and hold a basic dollar buffer at an estimated cost of MVR 1.5 million.
 - Low cost and quick to implement, addressing treasury and procurement weaknesses. However, as revenue remains entirely in MVR and core issue of revenue-cost currency mismatch remains unresolved which limits overall impact.
- **OPTION C: “Fen Rakkaa Project” (Integrated)**
 - Deliver six workstreams covering governance, dollar revenue, treasury, procurement, contracts and energy savings at an estimated cost of MVR 4.5M over twelve months through two stage gates.
 - This is the only option that addresses all the root causes. Although more complex than Option B, financing is achievable and the staged approach limits risk by allowing a managed fallback to Option B if expected benefits are not realized.

4.1.2 Evaluation Criteria for Project Options

The evaluation criteria and weightings were set before scoring to avoid predetermined outcome. The weightings were applied on the following basis, and weighted appraisal is shown in Table 6Table 6.

- Strategic fit and Benefits (20%)
 - Addresses BP26's top corporate challenge
 - generate clear financial value.
- Feasibility and Cost (15%)
 - Reflecting budget discipline and SOE.
- Time to benefit and Risk reduction each carry 10% while stakeholder acceptability and sustainability each carry 5%.

Table 6 Weighted Appraisal

Criterion	Weight	Option A	Option B	Option C
Strategic fit	20%	1	3	5
Benefits	20%	1	3	5
Feasibility	15%	5	4	4
Cost	15%	5	4	3
Time to benefit	10%	3	4	3
Risk reduction	10%	1	2	5
Stakeholder acceptability	5%	2	3	4
Sustainability of change	5%	1	2	5
Weighted total	100%	2.45	3.25	4.30

4.2 Financial Appraisal and Sensitivity

Benefits ramp at 15%, 35% and 45% of the MVR 55 million exposure (A2) over three years, against MVR 4.5 million one-off and MVR 1.2 million annual costs at a 12% discount (8 APPENDIX). Three-year NPV is MVR 33.4 million, benefit-cost ratio 5.8, payback within Year 1. An IRR is deliberately not quoted because at this cost scale it would imply false precision.

The recommendation for Option C was tested against reasonable changes in key assumptions to confirm the decision is robust:

- Weight adjustments: doubling the cost criteria weight to 30% and cutting the strategic fit weight to 5% still leaves Option C ranked first (4 against 3.4 and 3.05). Thus, proves that outcome does not depend on initial weightage.
- Break-even point: financial model shows that the project breaks even by achieving 17% of estimated benefits.
- Cost overruns: project remains financially positive at 40% benefit realization rate, even if running costs were to overrun by two-thirds.
- Exchange Rate Peg: a change to the official currency peg would alter the specific numbers, but it would strengthen.

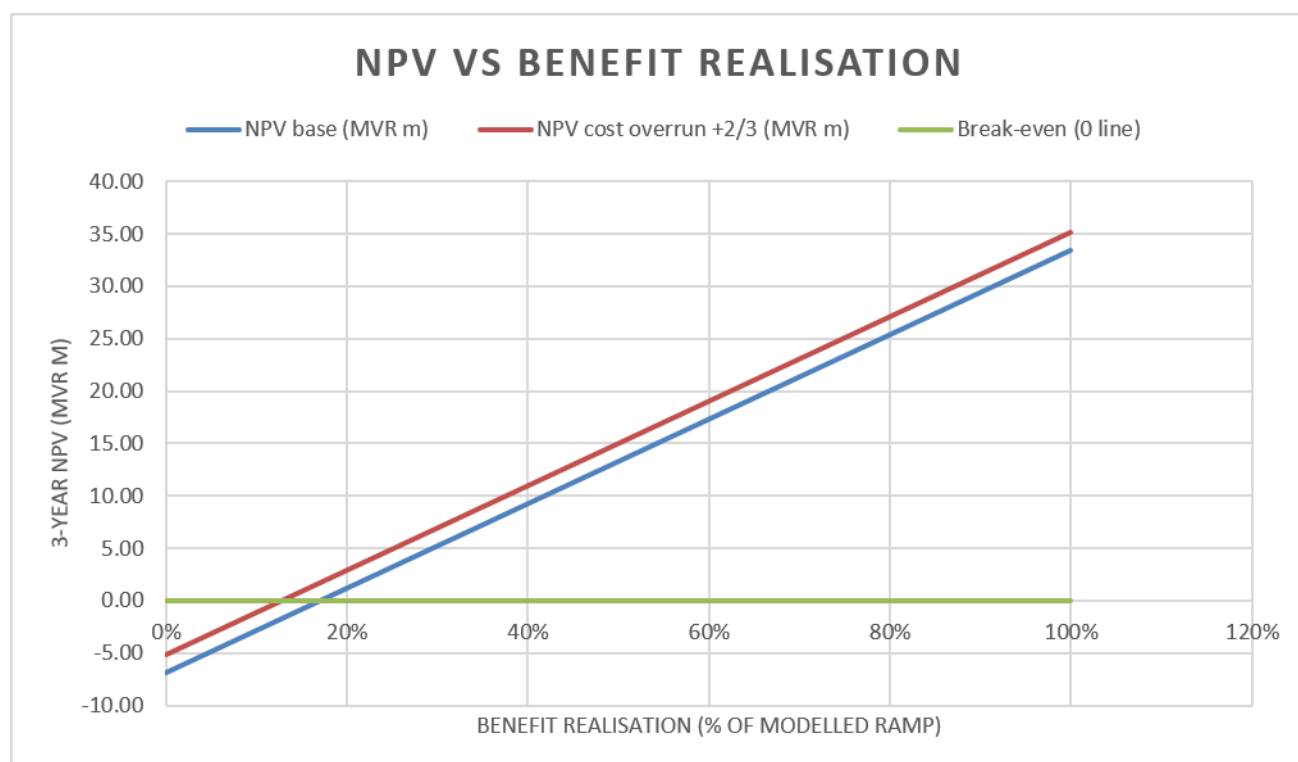


Figure 5 NPV vs Benefit Realization Chart

4.3 Recommendation

Option C “FEN RAKKAA Project” is unequivocally recommended, with option B as the priced fallback if funding is cut. It provides best balance of strategic alignment, financial return, risk control and sustainability, and it is the only option that resolves every root cause. The accepted trade-off is additional workload in a crowded change year which is managed through existing KPIs and governance rather than new

structures. The rejected trade-off is Option A's apparent safety, because its losses are hidden and appear gradually as currency erodes rather than immediately.

The main limitation is that benefits depend on the assumed dollar-linked share of costs rather than published segment data. For that reason, exposure register is the first deliverable and the project is gated. The environment is complex and unpredictable, so the project is designed to probe, learn, and adjusted at each gate (Snowden and Boone, 2007).

4.4 Logical Framework Matrix (LFA)

Table 7 presents the LFA for Option C and addresses four core LFA components including objectives, measures and verification, assumptions, inputs. Baseline is adopted from Section 2, each assumption sits at the level it threatens, and every result has an owner. Gate 1 (month 6) tests that governance systems and controls are operational, while Gate 2 (month 12) tests whether at least 35% of projected benefits have been realized. Project roadmap is shown in Figure 6.

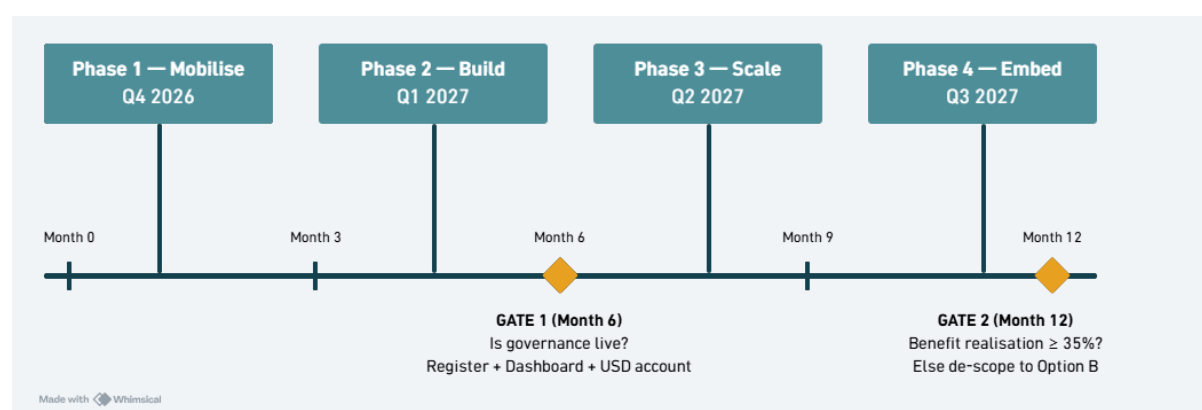


Figure 6 Project "FEN RAKKAA" Delivery Roadmap with Gates

Table 7 Logframe

Level	Indicators (baseline, target, timing)	Verification	Assumptions (by level)	Owner
Impact	60% reduction in unmanaged FX losses against the A2 exposure baseline by FY2027. Zero incidents of FX-driven utility service interruptions by FY2027.	Audited statements Service reports	Peg stable Tourism inflows continue	Board / MD
Outcome	USD billing transitioned from approx. 0% to ≥50% of resort clients and ≥20% of project revenue by Q2 2027. Volume-adjusted USD procurement spend reduced by 10–15% by Sep 2027. USD treasury reserve achieves ≥20% of total MVR 30m reserve target by Mar 2027.	Billing data Commercial contracts Treasury statements	Clients accept USD terms Suppliers accept bulk ordering	CFO / GM,BD
Outputs	Enterprise FX exposure register and tracking dashboard fully live by Q4 2026. Execution of ≥5 newly negotiated USD-denominated resort contracts by Q1 2027. Consolidated import plan capturing ≥90% of total import value. 100% compliance in utilizing the FX clause library for new tenders.	System audit Contract register Tenders	Sustained bank cooperation Existing SAP data is adequate for exposure mapping	Programme Lead

Activities	Mobilize steering committee and assign divisional champions. Develop exposure register and secure dedicated USD treasury account. Draft standard legal FX clauses and execute resort outreach campaign. Conduct enterprise-wide FX bank engagement and internal training.	Programme plan Steering minutes Training attendance logs	MVR 4.5m released on schedule Cross functional champions allocated	Programme Lead
-------------------	--	--	---	----------------

5 Risk Management Plan

Table 8 presents a comprehensive risk register covering the strategic, financial, stakeholder, governance, delivery, operational, and sustainability risks of Option C. Each risk is expressed as cause, event and effect, scored for likelihood and impact and ranked by exposure. Any risk scores 12 or more escalate to EXCO and residual scores assume the stated response work.

Table 8 Risk Register

ID	Category	Risk (cause, event, effect)	L	I	L x I	Owner	Mitigation Strategy	Response and trigger	Residual Risk
R1	Strategic	Peg Adjustments: country's low reserve forces a change in official exchange rate, leading to immediate FX exposure.	3	5	15	CFO	Implement flexible planning band rate for budgeting and conduct quarterly review.	Trigger: Official peg adjustment announcement Response: Re-baseline project FX exposure within 30 days	8
R2	Financial	USD unavailability: banks heavily ration USD leading to import shortages and threatening operations and projects.	3	5	15	CFO	Maintain multi-bank relationship to spread risk allocation and hold a USD designated emergency stock.	Trigger: Bank refuse USD requests. Response: Utilize USD buffer or parallel market and escalate to relevant authorities.	8

R3	Stakeholder	Client resistance: high client bargaining power leading resorts to reject USD billing terms. Thus, fail to achieve target	3	4	12	GM, BD	Introduce USD billing on new contracts only.	Trigger: USD billing uptake falls below 50% by Q1 2027 Response: Implement FX-indexed pricing as a commercial fallback	6
R4	Governance	Clause rejection: fixed-price awards or leadership changes causes FX clauses to be rejected failing to achieve target margin	3	4	12	Legal/CFO	Use established FIDIC precedent drafting FX clauses and secure documented executive sponsorship.	Trigger: Formal rejection of FX clauses by ministry Response: Ring-fence project funds to cover unhedged exposure	6
R5	Delivery	Initiative fatigue: crowded corporate change agenda induces fatigue and slows delivery and delaying benefits past Gate 2	3	3	9	Project Lead	Embed project deliverables into existing divisional KPIs to align standard operational workflows	Trigger: Two consecutive project milestones are missed. Response: Initiate a formal re-phasing of the delivery schedule.	4

R6	Financial	Overstated baselines: reliance on estimated baselines results in overstated projected benefits which weakens the validity of the business case.	2	4	8	Project Lead	Use conservative baseline estimate and require independent verification by internal audit before benefits are reported	Trigger: Benefit realization falls below 35% at Gate 2. Response: Execute de-scoped Option B (Treasury Fix)	4
R7	Operational	Forecast inaccuracy: consolidation of import ordering leads to demand mis-forecasting resulting in critical spares stock-outs.	2	4	8	Procurement	Classify all inventory by operational criticality and enforce approved min-max stocks to keep accordingly.	Trigger: Imminent stock-out of an A-class critical asset. Response: Approve emergency air-freight secure operation continuity.	4
R8	Sustainability	Discipline lapse: behavior-dependent operational gains erode over time due to lapses in procedural discipline post-implementation.	2	3	6	CFO	Maintain the corporate exposure register permanently and link compliance to long-term divisional KPIs.	Trigger: Two fiscal quarters pass without a documented risk review. Response: Reinstate the project steering committee.	2

6 Conclusion

The causes MWSC can act on are internal and the recommended project addresses them all. The appraisal shows it beats both alternatives and stays positive even if most estimated benefits fail to appear. The log frame and risk register state in advance how delivery is measured, what failure looks like, and what happens then. Approval of option C is requested: a gated spend of 0.3% of revenue against exposure in the tens of millions.

7 Reference

Adhadhu (2026) *Dollar Tracker and black market rate reports* [online]. Available from: <https://adhadhu.com/tag/dollar-blackmarket> [Accessed 11 August 2026].

Argyris, C. (1977) Double loop learning in organizations. *Harvard Business Review*. 55 (5), pp. 115–125.

Barney, J. (1991) Firm resources and sustained competitive advantage. *Journal of Management*. 17 (1), pp. 99–120.

Callahan, K. and Brooks, L. (2008) *Essentials of Strategic Project Management*. Hoboken, NJ: Wiley.

Ishikawa K (1985) *What is Total Quality Control? The Japanese Way*. Englewood Cliffs, NJ: Prentice-Hall.

Maldives Monetary Authority (2026) *Monthly Statistics, July 2026* [online]. Malé: Maldives Monetary Authority. Available from: <https://database.mma.gov.mv/viya>.

Ministry of Finance and Planning (2026) *Statement on the settlement of the USD 500 million Sukuk*. Malé: Government of Maldives.

MWSC (2025a) *Business Plan 2026 (Summarized Version)* [online]. Malé: Male' Water & Sewerage Company Pvt. Ltd. Available from: https://www.mwsc.com.mv/asset/assets::downloads/business-plan-2026-_summarized-version.pdf.

MWSC (2025b) *Corporate Profile* [online]. Malé: Male' Water & Sewerage Company Pvt. Ltd. Available from: <https://www.mwsc.com.mv/asset/assets::downloads/mwsc-corporate-profile.pdf>.

MWSC (2026) *Quarterly Report Q2 2026* [online]. Malé: Male' Water & Sewerage Company Pvt. Ltd. Available from: https://www.mwsc.com.mv/asset/assets::downloads/_quarterly-report-q2---2026-%282%29.pdf.

MWSC/AGO (2025) *MWSC Annual Report 2024 with Audited Financial Statements* [online]. Malé: Male' Water & Sewerage Company Pvt. Ltd. and Auditor General's

Office. Available from: <https://www.mwsc.com.mv/asset/assets::downloads/agenda-3---annual-report-2024-with-fs-1.pdf>.

Snowden, D.J. and Boone, M.E. (2007) A leader's framework for decision making. *Harvard Business Review*. 85 (11), pp. 68–76.

World Bank (2026) *Maldives Development Update 2026* [online]. Washington, DC: World Bank Group. Available from: <https://www.worldbank.org/en/country/maldives/publication/maldives-development-update-2026>.

8 APPENDIX

8.1 Appendix A: Financial Workings (Section 4.2)

Three-year discounted cashflow. Benefits ramp at 15%, 35%, and 45% of adopted MVR 55 million annual exposure (A2, A3), against MVR 4.5 million one-off and MVR 1.2 million annual running cost, discounted at 12%.

Input	Value	Unit / note
Annual FX exposure (A2)	55	MVR m, planning estimate
Year 1 benefit ramp	15%	share of exposure
Year 2 benefit ramp	35%	share of exposure
Year 3 benefit ramp	45%	share of exposure
One-off project cost	4.5	MVR m, Year 1
Annual running cost	1.2	MVR m
Discount rate	12%	per year
Gate 2 threshold	35%	realization %

Year	Benefit (MVR m)	Cost (MVR m)	Net (MVR m)	Discount factor @12%	PV (MVR m)
1	8.25	5.70	2.55	0.89	2.28
2	19.25	1.20	18.05	0.80	14.39
3	24.75	1.20	23.55	0.71	16.76
Totals	52.25	8.10	44.15	NPV =	33.43

Below shows 100% benefit realization led to breakeven of project at 17%. Payback occurs in Year 1, where net cash flow is already positive.

Derived

PV of benefits @100% realization	40.33
PV of costs	6.90
Break-even realization	17.1%